

unduly optimistic about the business and that the stock price will correct itself downward. In a similar way, loser stocks may simply be stocks that investors have become excessively pessimistic about. As the misperception is corrected, these stocks earn high returns.

Investor Underreaction

Barberis, Vishny, and Shleifer believe that investors sometimes also make the mistake of underreacting to certain types of financial news. Suppose a company announces quarterly earnings that are substantially higher than expected. The evidence suggests that investors see this as good news and send the stock price higher but, for some reason, not high enough. Over the next six months, this mistake is gradually corrected as the stock price slowly drifts upward toward the level it should have attained at the time of the announcement. Investors who buy the stock immediately after the announcement will benefit from this upward drift and enjoy higher returns.

The same underreaction principle applies to bad news. If bad news is announced—like if a company announces it is cutting its dividend—then the stock price will fall. However, it does not fall enough at the time of the announcement and instead continues to drift downward for several months. In both cases, when investors are faced with either good or bad announcements, they initially underreact to this news and only gradually incorporate its full import into the stock price. This signals an inefficient market. So what strategy should smart investors adopt? In the long run, it is better to invest in value stocks, stocks with low valuations (overreaction theory); but in the short run, the best predictor of returns in the next six months is returns over the preceding six months (underreaction theory). “In the short run, you want to buy relative strength,” explained Vishny. “This might seem contradictory, but we can explain how both of those facts might be true using some basic psychology and building that into a model for how people form their expectations for future earnings.”⁸

Psychological Evidence

In the new field of behavioral finance, researchers seek to understand whether aspects of human behavior and psychology might influence the way prices are set in financial markets. “Our idea is that these market anomalies—underreaction and overreaction—are the results of investors’ mistakes,” said Vishny. “In this paper, we present a model of investor sentiment—that is, of how investors form beliefs—that is consistent with the empirical findings.”⁹ In explaining investor behavior, Barberis, Vishny, and Shleifer’s model is consistent with two important psychological theories: